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N° 26

COLLECTION · INVESTORS

Your First Income Property

Buy your first plex without costly mistakes — profitability, financing, management

2026 EDITION

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

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Investing in a first income property is one of the best ways to build wealth in Quebec. But a plex isn't a house: you buy it like a business, with numbers, not with your heart.

This guide gives you the basics: assessing a building, calculating its profitability, financing it, and avoiding the classic first-time investor mistakes.

Each chapter ends with a lined “My notes” page.

Buying a first income property means going from buyer to investor — then to manager. This guide teaches you to think in numbers, to check a building before making an offer, to avoid the classic mistakes and to manage once you're the owner.

The through-line: emotion chooses a house, the numbers choose a building.

CHAPTER

Thinking like an investor

> *Adopting the business logic of rental real estate.*

An income property is judged on its numbers: rental income, expenses, financing, and the cash flow that's left. You don't buy a plex because it's pretty, but because its numbers hold up.

- Income: current and potential rents.
- Expenses: taxes, insurance, maintenance, management, vacancy, bad debts.
- Financing: down payment, mortgage payments.
- Cash flow: what's left once everything is paid.

An income property isn't a home: it's judged on its numbers, not on the crush. Income, expenses, cash flow and return come before the décor. Adopting this business logic from the first visit is what sets the investor apart from the merely emotional buyer.

> EMILIE'S TIP
>
> *Fall in love with the numbers, not the bricks. An ordinary building with solid numbers is a far better investment than a beautiful plex that loses money every month.*

CHAPTER

Assessing a building before making an offer

> *Doing the checks specific to rentals.*

- Analyze the leases, the current rents vs the market, the payment history.
- Check the building's condition (roof, structure, plumbing, electrical): repairs across several units are expensive.
- Obtain the real expenses (taxes, insurance, common-area energy, maintenance).
- Account for vacancy and bad debts in the projections.

In Quebec, remember: the leases follow the building. You inherit the tenants and their conditions.

Before making an offer, check the concrete facts: leases and current rents vs the market, expense history (taxes, insurance, energy, maintenance), the building's condition and upcoming work. A rent “below market” isn't an automatic gift — the increase rules govern the raise.

> EMILIE'S TIP
>
> *Require the real numbers (leases, expenses, invoices), not the seller's optimistic projections. A building is bought on verified data, not on promises.*

CHAPTER

The classic first-time investor mistakes

> *Avoiding the most frequent traps.*

- Overestimating income and underestimating expenses.
- Forgetting vacancy, management and the reserve for major work.
- Assuming you can easily raise rents or evict (strict rules).
- Neglecting the inspection: a building hides more systems than a house.

A good project stays profitable even with a vacancy and a major repair in the same year. If it only holds up in the perfect scenario, it's too risky.

The classic beginner mistakes: overestimating income, underestimating expenses, forgetting vacancy and maintenance, and neglecting the rental rules. A realistic budget, with a reserve, keeps you from discovering that your “good deal” loses money every month.

> EMILIE'S TIP
>
> *Build your numbers carefully: realistic rents, complete expenses, a margin for surprises. The seller's “on-paper” profitability is almost always prettier than reality.*

CHAPTER

From analysis to offer

> *Structuring an investor's offer.*

Once the numbers are validated, make a conditional offer: inspection, financing, and review of the leases and documents. These conditions protect you if the real numbers differ from what was advertised.

The first building is a school: well chosen and well managed, it partly funds your own rise in skill and opens the door to the second.

Once the numbers are validated, structure an investor's offer: inspection and financing conditions, review of the leases and financial statements, sufficient deadlines. You don't buy a building on the seller's word — you buy it on verified documents.

> EMILIE'S TIP
>
> *Always have the leases and expenses examined BEFORE your conditions expire. Discovering an inflated rent or a hidden expense after the purchase is too late.*

CHAPTER

After the purchase: managing your first building

> *Going from buyer to landlord.*

Buying a building also means becoming a **manager**. A few foundations to start well:

- Take over the current **leases** and get to know your tenants.
- Keep simple **accounting** from the first month.
- Build a **reserve** for maintenance and surprises.
- React **quickly** to requests (good service reduces turnover).

Rigorous management from the start makes the difference between a profitable investment and a source of stress.

After the purchase, you become a manager: take over the leases, keep accounting from the first month, build a maintenance reserve and react quickly to requests. Rigorous management makes the difference between a profitable investment and a source of stress.

> EMILIE'S TIP
>
> *Treat your building like a small business from day one: a dedicated account, up-to-date numbers and a maintenance reserve. That seriousness will also make financing the next one easier.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Define my budget and my investor borrowing capacity.
2. Learn to read a building's leases and expenses.

Within 30 days

1. Analyze 2-3 buildings on their real numbers.
2. Make a conditional offer on the best file.

Next

1. Have it inspected and validate the leases before fulfilling my conditions.

Before making an offer

1. Obtain the leases, rents, and the building's expense history.
2. Build my realistic budget (with vacancy and a reserve) and validate my financing.

REFERENCES

Resources & glossary

- Cash flow: the money left after all expenses and the financing.
- Leases: contracts that follow the building in Quebec.
- Vacancy: periods without a tenant, to be budgeted.
- Bad debts: unpaid rents to plan for.
- Work reserve: a provision for major repairs.

- Income property: a property bought to generate rents.
- Cash flow: what's left after all expenses and the mortgage.
- Vacancy: a period without a tenant, to be budgeted.
- Maintenance reserve: a sum set aside for repairs.
- Lease: a rental contract that follows the building at sale.

GOING FURTHER

Quiz — test your knowledge

1. An income property is judged above all on:

A) Its appearance

B) Its numbers (income, expenses, cash flow)

C) Its colour

D) The neighbourhood alone

2. In Quebec, the leases:

A) Are cancelled at sale

B) Follow the building

C) Are rewritten

D) Disappear

3. A classic mistake is:

A) Underestimating income

B) Overestimating income and underestimating expenses

C) Planning a reserve

D) Getting an inspection

4. A good project should hold up:

A) Only if everything is perfect

B) Even with a vacancy and a major repair

C) Without tenants

D) Without a reserve

5. The numbers to use are:

A) The seller's projections

B) The real verified data

C) Optimistic estimates

D) None

6. An investor's offer should be:

A) Without conditions

B) Conditional (inspection, financing, leases)

C) Verbal

D) Random

7. Assuming you can easily evict is:

A) Realistic

B) Risky: the rules are strict

C) Guaranteed

D) Unimportant

8. Cash flow is:

A) The purchase price

B) What's left once everything is paid

C) The down payment

D) The tax

Answer key

1. B — You buy it like a business (ch. 1).

2. B — You inherit the tenants (ch. 2).

3. B — The most frequent trap (ch. 3).

4. B — You test a cautious scenario (ch. 3).

5. B — Real leases and expenses (ch. 2).

6. B — The conditions protect you (ch. 4).

7. B — Repossession/eviction is regulated (ch. 3).

8. B — The net cash flow (ch. 1).

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Thank you for reading. May this guide help you decide with confidence, with all the information in hand.